

How to Generate Regular Monthly Cash Flow in Tax Efficient way from Your Retirement Corpus Using SWP in Mutual Funds: A Step-by-Step Planning Guide

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Rajesh Bansal
Midas FinServe Pvt. Ltd.

Retirement is not the **End of Earning** — it is the beginning of drawing smartly from what you have built. For decades, investors in India have relied on traditional options like Pensions, Annuities and Fixed Deposits for Post-retirement income. However, with evolving financial products and the shift to self-managed retirement planning, **Systematic Withdrawal Plans (SWP) in Mutual Funds** have emerged as a flexible and tax-efficient strategy for creating **regular monthly cash flows**.

In this article, we explore how you can structure an SWP to ensure peace of mind, consistent income and long-term sustainability of your retirement corpus.

Importance of Smart Income Planning especially retirees

Smart income planning is essential, especially for **retirees and those seeking steady cash flow**, due to key economic and financial factors:

1. Declining Interest Rates – As India progresses toward a **developed economy**, interest rates are expected to **fall significantly**, reducing returns from traditional fixed-income options like **FDs and bonds**. A well-planned strategy ensures a stable income despite lower rates.

2. Longer Life Expectancy – With increasing life spans, retirees need their wealth to **last 25-30+ years**, making it vital to create **sustainable income streams** that does not deplete savings too soon.

3. Inflation-Adjusted Returns – Generating **inflation-beating returns** is a major challenge. Fixed returns may not keep up with rising costs, eroding purchasing power over time. A balanced **investment approach** with **equities, debt, and alternative assets** helps maintain financial security. A well-structured **income plan** ensures financial independence, protects against inflation, and

supports a comfortable lifestyle in the long run.

What is SWP in Mutual Funds?

SWP stands for **Systematic Withdrawal Plan** — a facility that allows investors to withdraw a fixed amount at regular intervals (monthly, quarterly, etc.) from their existing Mutual Fund investments. Unlike SIP (Systematic Investment Plan), which is for investing regularly, SWP is ideal for **drawing a steady income** during your retirement years, without redeeming your full investment at once.

Why SWP is Smart Income Planning for Retirement Income?

• **Monthly Cash Flow:** Just like a salary, you receive fixed monthly payouts.

• **Tax Efficiency:** Only capital gains are taxed, not the principal. Equity funds held over 1 year enjoy LTCG tax treatment.

• **Preserve and Grow:** Your balance corpus remains invested and has the potential to grow.

• **Flexibility:** You can start, pause or modify the SWP amount as per changing needs.

SWP – Tax Efficient Income Plan

A **Systematic Withdrawal Plan (SWP)** is one of the most **tax-efficient income strategies**, especially when compared to **Fixed Deposits (FDs) and dividends** on the basis of following facts:

• **Lower Tax on Capital Gains** – SWP withdrawals are **not fully taxable**; only the **capital gains portion** (profit earned) is taxed. In contrast, **FD interest is taxed at your income tax slab rate**, making it less efficient.

• **Tax-Free Withdrawals of Principal** – Unlike FDs or dividends (which are fully taxable), a part of each

SWP withdrawal comes from **your invested capital**, which is **not taxed**—only the profit portion is subject to tax.

• **No TDS Deduction** – Unlike FDs, where **banks deduct TDS** on interest earnings, Mutual Fund SWP does not have **TDS obligations** (except for NRIs). Investors only pay capital gains tax when filing returns.

Step-by-Step Planning for SWP (Systematic Withdrawal Plan)

Step 1: Estimate Your Monthly Income Requirement

Step 2: Assess Your Total Retirement Corpus

Step 3: Choose Suitable Mutual Fund Categories – Can Choose between Equity Hybrid, Balanced Advantage or Equity Savings Fund based on age and risk tolerance

Step 4: Structure the SWP Plan – Decide Withdrawal amount, Frequency (monthly/quarterly)

Step 5: Plan for Inflation-Adjusted Withdrawals – Set up a step-up in SWP amount every 1–2 years to account for inflation.

Step 6: Monitor & Review Periodically – Review fund performance and SWP sustainability every 6–12 months.

Conclusion: SWP from Mutual Funds is a **Smart, Flexible and Tax-efficient** way to generate income from your retirement savings. With proper planning, periodic review and right fund selection you can enjoy **financial independence** and **peace of mind** in your golden years — without constantly worrying about running out of money. The key is to treat your retirement corpus not as an end, but as a well-managed engine for dependable income.

Illustrative Example:

Mutual Fund SWP Calculator ICICI Pru Equity & Debt Fund							
Lumpsum Amount:		1,00,00,000		Lumpsum Amount Investment Date:		02-01-2017	
Withdrawal Amount (Per Month)		75,000		SWP Start Date		10-01-2018	
Withdrawal Period		No of Monthly Installments		Total Withdrawal Amount		Current Value as on 12-05-2025	
10-01-2018 to 30-05-2025		89		66,75,000		2,24,33,948	
Nav Date	Nav	Units	Cumulative Units	Cash Flow	Net Amount	Capital Gain/Loss	No. of Days (Invested)
02-01-2017	105.12	95,129	95,129	1,00,00,000	1,00,00,000	-	0
10-01-2018	131.39	571	94,559	(75,000)	99,25,000	14,995	373
12-02-2018	129.65	578	93,980	(75,000)	98,50,000	14,190	406
12-03-2018	127.22	590	93,391	(75,000)	97,75,000	13,029	434
10-04-2018	127.38	589	92,802	(75,000)	97,00,000	13,106	463
10-05-2018	127.72	587	92,215	(75,000)	96,25,000	13,271	493
11-06-2018	126.78	592	91,623	(75,000)	95,50,000	12,814	525
10-07-2018	125.22	599	91,024	(75,000)	94,75,000	12,039	554
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10-01-2025	359.36	209	59,221	(75,000)	36,25,000	53,061	2930
10-02-2025	361.31	208	59,013	(75,000)	35,50,000	53,179	2961
10-03-2025	352.32	213	58,800	(75,000)	34,75,000	52,623	2989
11-04-2025	363.66	206	58,594	(75,000)	34,00,000	53,320	3021
12-05-2025	384.15	195	58,399	(75,000)	33,25,000	54,477	3052
2,24,33,948							

Tax Implication:

Financial Year	LTCG	Lumpsum	Taxable LTCG	LTCG Tax @10%
FY 2018-2019	1,54,199	1,00,000	54,199	5,420
FY 2019-2020	1,87,789	1,00,000	87,789	8,779
FY 2020-2021	1,94,785	1,00,000	94,785	9,479
FY 2021-2022	4,71,864	1,00,000	3,71,864	37,186
FY 2022-2023	4,93,021	1,00,000	3,93,021	39,302
FY 2023-2024	5,62,710	1,00,000	4,62,710	46,271
FY 2024-2025	7,46,388	1,25,000	6,21,388	77,674

Tax Implication: